

market conditions. Adaptation is what ensures our long-run success and ultimate survival.

According to Lao Tzu, the best way to manage anything is by making use of its inherent nature. Dual momentum lets us do that by dynamically changing our market exposure in accordance with regime shifts while simultaneously exploiting investor behavioral biases and capturing high-relative-strength returns. One of the ubiquitous sayings of Wall Street is that bull markets climb a wall of worry. With dual momentum, that expression instead becomes, “Don’t Worry. Be Happy.” All we have to do is follow our model.

OLD INVESTMENT PARADIGM

The old investment paradigm starts with naive investing by individual investors, some of whom make decisions by listening to prognosticators. Warren Buffett commented on this too, saying the only value of stock forecasters is to make fortunetellers look good. Sturgeon’s law also comes to mind: “Ninety percent of everything is crap.” Individual investors often overtrade, underdiversify, and succumb to a number of common behavioral errors.

Having others take over the decision-making process through active investment management usually subjects one to high fees, similar overtrading, and some of the same behavioral biases that plague individual investors.

The old paradigm also relies on fixed income to reduce portfolio volatility and drawdown. That helped some during the bond bull market of the past 30 years, but it may not be the prudent thing to do now. Risk parity, which substitutes other risks for reduced volatility from equities, takes this to an extreme and may be ill timed now in today’s low-interest-rate environment.

Everything-but-the-kitchen-sink diversification may also be disappointing in the years ahead. Too much diversification can lead to mediocre returns due to the lack of decent risk premium. As Warren Buffett said, “Diversification may preserve wealth, but concentration builds wealth.”